OUTSIDE-IN INVESTMENT MEMO NOVEMBER 2026

Skello: what BDC V has to believe

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Student case study from public sources only. I have no access to Skello or Bridgepoint data, and neither has seen this work. Reported figures carry a reference to the evidence ledger in the workbook (for example [E11]). Everything else is my estimate.

Summary

From public sources alone, I cannot get the deal to my 3.0x reference at about €350M post-money on ordinary shares. Whether it gets there in reality depends on facts that only diligence can see. Base returns 2.1x and 18.2% at a December 2030 exit, against my reference of 3.0x and 25%.[E19] The Downside returns 0.5x. If the 2030 buyer is a sponsor underwriting a 15x EBITDA exit, Base falls to 1.8x and the Downside to 0.2x.

Two answers would matter most in diligence: French gross retention, and the instrument. Retention near 90% with a 1x senior preference on the new money gives about 2.5x, with the Downside at 0.8x (0.4x with a sponsor buyer). Neither is free: 90% is above the 87% my calibration implies, and the preference would wipe out the rollover in the Downside, which sellers in an auction would resist.

On price alone, 2.5x would need a different deal. It takes about €294M post-money, below the €300–375M the press allows. At €150M that is a 51% stake and control; at the reported stake the cheque falls to about €126M. A 20% IRR takes €325M, 25% takes €267M and 3.0x takes €242M.

BDC V signed after a competitive process, with diligence I do not have.[E17] The gap measures what an outsider cannot see; it is not a verdict on the deal. Table 1 shows how far each unknown would have to move.

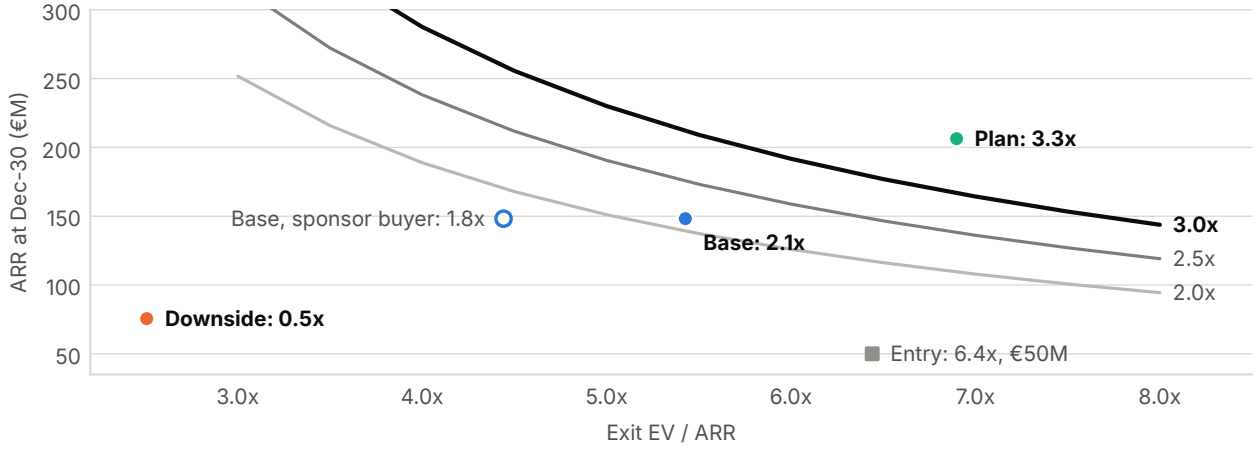
Table 1. What closes part of the gap in Base, each taken alone

Unknown	What it takes	Result
Retention above my 86%	French gross retention of 90%, with international and new logos moving with it	2.5x. 3.0x would need 94%
A protected instrument	1x senior preference on the €200M of new money	Downside 0.5x to 0.8x. Base and Plan unchanged
A lower price than reported	Post-money of €294M against the CFNEWS estimate of €350M[E11]	2.5x. See above on stake and range
A richer exit	1.1x of revenue above my curve at exit	2.5x, at 6.8x of revenue in 2030

Table 2. Three scenarios, exit December 2030, returns to Bridgepoint on ordinary shares

	ARR Dec-30 (€M)	Organic CAGR	EBITDA margin FY30	Exit EV / revenue	Exit EV / ARR	Exit EV / EBITDA	MOIC	IRR	MOIC, sponsor buyer
Downside	76	6%	7%	2.5x	2.5x	35x	**0.5x**	**(16%)**	0.2x
Base	148	23%	22%	5.7x	5.4x	26x	**2.1x**	**18.2%**	1.8x
Plan	206	31%	25%	7.6x	6.9x	30x	**3.3x**	**32%**	2.5x

Figure 1. Exit ARR and multiple needed for each MOIC



Lines use Base net debt and no new equity. Plan needs €39M of new equity, so it returns less than its position suggests.

1 The deal, rebuilt

Reports give the cheques and the debt, plus a post-money that is CFNEWS's own estimate.[E08-E13] They do not split primary from secondary, so I assume €60M of primary and €8M of existing cash. Those two assumptions, not the press, produce the 6.4x ARR.

Table 3. Sources and uses at closing, and what they imply (€M)

Sources		Uses		Implied	
Bridgepoint (BDC V)	150	Primary cash (assumed)	60	Enterprise value	322
Founders and VCs, new money	50	Purchase of existing shares	169	EV / ARR; EV / LTM revenue	6.4x; 7.4x
Unitranche (Eurazeo)	40	Costs and discount (assumed)	11	Bridgepoint stake	42.9%
Total	**240**	**Total**	**240**	Cheque / BDC V (€2.8bn)	5.4%

Entry could be well away from 6.4x. Crossing post-money of €300–375M with primary of €20–100M gives 4.6x to 7.7x ARR and Base MOIC of 1.8x to 2.6x. Sources also disagree on whether the €200M includes the debt,[E10] but that changes only the secondary amount (€169M or €129M).

Table 4. Price reference points, EV / revenue

Skello at entry, on my assumptions	7.4x	Legacy time-and-attendance tools[E24]	3–6x
My Rule of 40 curve at Skello's score	6.4x	Scaled HCM suites[E24]	5–8x
Band median, score 40–50[E23]	7.0x	Paycor, 2025[E44]	6.3x
Band median, score 30–40[E23]	5.0x	Dayforce, 2025, growing 9.8%[E25]	6.6x

On public data, the price sits at the top of the range. Skello scores only 1.9 points above the drop from the 7.0x band to the 5.0x band. The bands are one adviser blog's blend of estimates, and I found nothing better in public. Growth of 40% is the case for paying above tools and suites that trade lower.

Two structural questions. Pre-deal holders net €119M of cash, 37% of their value, with Aglaé Ventures and the angels leaving,[E46] although management is reported to raise its stake.[E48] So debt and new equity fund a sell-down as well as growth. And €68M of cash beside a €40M loan costs about €2.8M a year in negative carry, which suggests lower primary than I assume or cash held for build-ups.

2 What the 2024 accounts show

Skello's filed accounts for 2024 confirm the growth and change four assumptions.[E50-E57]

Table 5. Skello SAS, statutory accounts (€M unless stated; French entity, Spain not consolidated)

	FY2023	FY2024		FY2023	FY2024
Revenue	18.0	25.4	Deferred revenue / revenue	30%	35%
Reported EBITDA	(7.4)	(2.6)	Cash at year-end	12.5	8.4
Reported EBITDA margin	(41%)	(10%)	Bank borrowings	5.5	4.2
Margin, development expensed	(44%)	(18%)	Average headcount	–	202

- **Growth.** Revenue rose 41% in 2024, in line with the 40% reported.[E02]
- **Profitability needs a definition.** The reported margin improved by 31 points in a year, but €1.9M of development was capitalised in 2024, 7% of revenue. My model expenses development, so the first question is on which basis 2025 was profitable.[E03]
- **Customers pay ahead.** Deferred revenue is 35% of revenue and rose by 46% of the revenue increase. Growth releases cash, so I raised the working-capital inflow from 5% to 25% of new ARR.
- **Customer failures are visible.** Doubtful receivables equal 13% of revenue, and the 2024 bad-debt charge 3.6%. This is the small-business closure risk behind the retention question, now in the accounts.
- **Spain loses money.** Skello Iberia lost €2.8M on €3.5M of revenue, funded by €5.2M from the parent.[E55] International growth is the cash-hungry part of the plan.
- **Other changes.** Tax credits were €0.15M, so the research credit falls from 10% to 3% of R&D. Tax losses are about €32M, not €40M, and existing net cash €8M, not €15M. Together they move entry from 6.3x to 6.4x ARR and leave Base MOIC at 2.12x.
- **Shareholders.** Before the deal the founders held 34.4% together, Partech 24.7% and XAnge 14.4%,[E57] consistent with management near 40% afterwards if the founders raised their stake.[E13,E48]

3 What the public record cannot settle

Retention

I reconstruct last-twelve-month revenue of about €44M and net new ARR of €14M. Gross new ARR depends on sales spend and efficiency, and churn is what is left over. On my cost assumptions, S&M above 47% of revenue would mean a loss, which rules out part of the range.

Table 6. Gross retention implied by public growth, at profitable levels of sales spend

S&M share of revenue	CAC ratio 0.8x	CAC ratio 1.0x	CAC ratio 1.2x
35%	86%	97%	not feasible
40%	79%	91%	99%
47% (break-even)	68%	82%	92%

The public numbers still allow 68% to 99%. My calibration (45% of revenue, CAC 1.03x) lands at 87%, and I use 86% in France. A 38-client study puts SaaS at this contract size near 71% and the next band near 81%.[E30] It is thin evidence, so Table 6 runs down to that level. Core customers are small hospitality businesses, which close often.

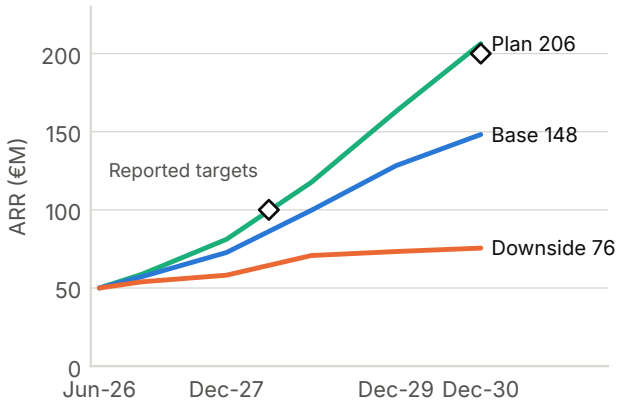
Table 7. Base MOIC by French retention and exit multiple. International moves with France; new logos adjust so last year's growth still ties

French gross retention	Curve -1.0x revenue	Curve -0.5x	Curve	Curve +0.5x	Curve +1.0x
71%	0.69x	0.85x	1.02x	1.18x	1.35x
76%	0.98x	1.16x	1.33x	1.50x	1.66x
81%	1.33x	1.52x	1.69x	1.85x	2.02x
84%	1.59x	1.76x	1.94x	2.11x	2.29x
86% (Base)	1.77x	1.95x	**2.12x**	2.30x	2.48x
88%	1.95x	2.13x	2.31x	2.49x	2.67x
90%	2.14x	2.32x	2.51x	2.69x	2.87x

Growth, history and market

- **Run-rate.** Growth of 40%,[E02] €40M at end-2025 and €50M today[E01] would imply 25% annualised in H2 2025 and 56% in H1 2026. Rounding could explain this: end-2025 at €42M removes most of the gap. A monthly ARR bridge settles it.
- **History.** The 2021 plan announced 500 staff within two years and entry to Germany, Spain and Italy.[E31] Skello now has about 400 staff, and Germany is not among its listed countries.[E06,E32]
- **Unit economics.** My calibration gives NRR of 96% in France, payback of about 15 months and LTV/CAC of 5.9x. None is reported, and all depend on a CAC I fitted.
- **Market.** French daily users are 4.7% of the 12M frontline workers the company cites,[E28] rising to 9.1% in Base and 11.6% in Plan. They already equal 70% of salaried hospitality staff,[E29] so growth depends on retail, health and other verticals.
- **Competition.** Combo is about half Skello's size; Mapal and Toast cover restaurants; Factorial comes from payroll.[E47] Shiftbase, now sponsor-backed, is also aiming at Germany.[E40]

4 Scenarios



Plan follows the reported targets: €100M by 2028 and over €200M by 2030.[E14,E15] It needs 31% organic CAGR.

Base takes 23% organic and €20M of bought ARR. It reaches €100M by end-2028, about six months behind the plan's date and with €10M bought.

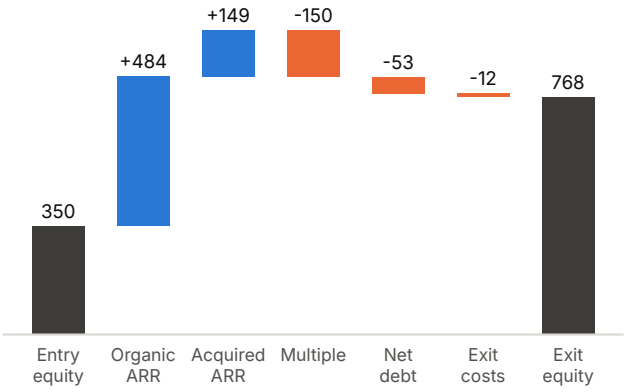
Downside spends the money first: a build-up in FY28, R&D that does not flex, French retention of 80% and new-logo ARR down 14% from the current rate.

Exit. EV is LTM revenue times a multiple read from the SaasRise bands, placed at their midpoints and joined by straight lines. Margin, CAC and retention therefore move the exit price, which a fixed ARR multiple would hide. Base scores 39 on organic growth and gets 5.7x. The same score sits in a band whose median is 5.0x, where Base would return 1.9x.

Spending and credit. A large part of the proceeds is reported to go to AI,[E02] unquantified. Base carries €9M of R&D above last year's share through FY29. A further €30M would cost 0.15x of MOIC, take FY27 EBITDA to about (€13M) and call €26M of new equity, which sits badly with reports that Skello stays profitable. Debt is 0.8x ARR, but 18.1x FY27 EBITDA. Cover is 0.5x in FY27 in Base and 0.1x, 0.5x and 0.9x over FY27–29 in the Downside, so only an ARR-style loan with liquidity tests fits. Terms are undisclosed, and I test no covenant.

The preference. In the Downside, €159M is distributable, below the €200M preference, so the €150M rollover, most of management's stake, gets nothing. On Bridgepoint's cheque alone, the preference gives 1.0x. At illustrative weights of 25/50/25%, expected MOIC is 2.0x, or 2.1x with the preference, which is worth about the same as €16M off the post-money. With €20M of primary instead of €60M, the Downside falls to 0.4x and calls €17M of new equity.

5 What moves the return

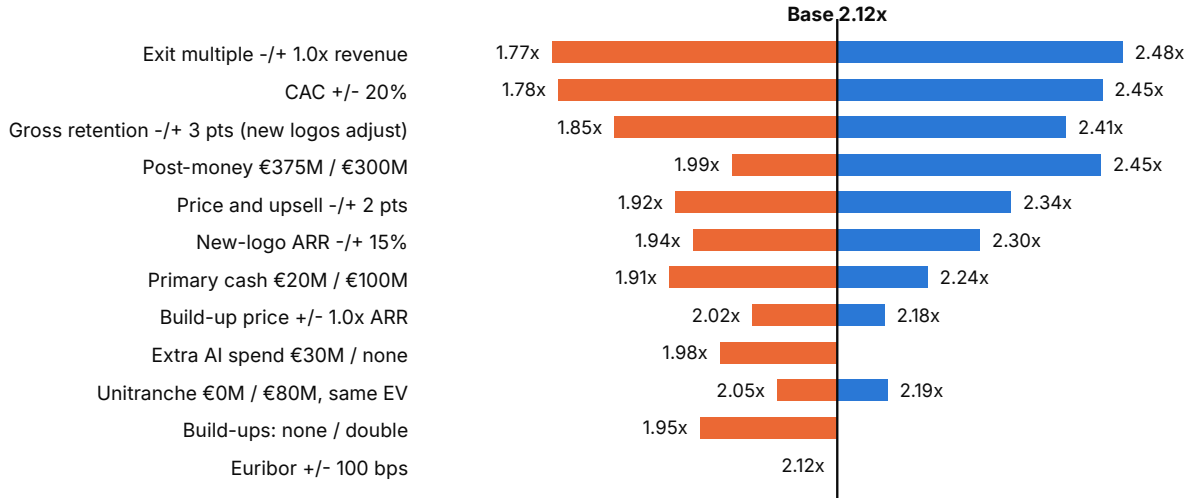


Base equity value goes from €350M to €768M (bridge at left, €M). ARR growth at the entry multiple adds €633M, and the lower exit multiple takes back €150M.

Leverage barely matters. With no debt at the same EV, IRR on total equity falls only from 19.0% to 18.1%. In the Downside, debt lowers total-equity MOIC from 0.56x to 0.45x.

Holding longer adds MOIC. Exit in 2029, 2030 or 2031 gives 1.54x, 2.12x or 2.56x, at 13.1%, 18.2% and 18.6%, as margin and the multiple recover.

Figure 2. One-at-a-time flexes on Base MOIC (exit multiple follows the Rule of 40 curve unless flexed directly)



Three points of retention, 20% on CAC and one turn of exit multiple each move MOIC by 0.28x to 0.36x; interest rates barely move it. Of the 1.15x between Base and Plan, organic ARR accounts for 0.99x and margins and CAC for 0.42x, averaged over every order of the steps; build-ups take back 0.27x.

6 Exit: who pays 5.7x of revenue?

Base exits at €804M: 5.7x of revenue, 5.4x ARR and 26x EBITDA on 17% organic growth. Two yardsticks disagree on whether anyone pays that.

The curve reflects M&A medians. LBO arithmetic shows what a sponsor can afford. Levering 6x EBITDA, reaching a 32% margin and earning 20%, it can pay €658M if it sells at 15x EBITDA in five years, which returns 1.8x to Bridgepoint. At 13x or 17x it can pay €590M or €727M (1.6x or 1.9x). If its own exit is priced on my curve, about 21x EBITDA, it can pay €864M. I weight 15x more heavily: it already sits above the 10.8x–13.1x all-sector buyout median,[E45] and inside the 12–18x quoted for mature businesses.[E24] So €804M needs either a strategic buyer, whose premiums are reported at 25–30% over underlying multiples,[E24] or a sponsor who expects high multiples to last.

Strategics such as Xero, ELMO and Paychex have bought in this space, as have sponsors: Thoma Bravo directly, and Hg and TA through Access.[E25,E36,E37,E38,E44,E49] The Downside's 2.5x of revenue is 35x EBITDA on 2.7% growth, a price for the customer base. At 12x EBITDA it returns 0.1x, or 0.2x with the preference. Whether Bridgepoint can force a sale from about 43%, next to management at about 40%, is a term I cannot see.

7 Buy-and-build

Capacity covers a first step. Cash above the minimum plus the capex line gives €83M, or about €15M of ARR at 5x after integration. Reports mention €5–20M of ARR per target and four or five targets.[E16] Cash generated to 2030 lifts capacity to €138M. At Base's organic rate, €200M of ARR needs €75M of acquired ARR and about €266M beyond capacity, falling to €62M at 30% organic growth. Debt at 4–5x FY30 EBITDA would add a net €84–114M, but that EBITDA arrives late. In equity, Bridgepoint's pro rata would take it to about €264M, or 9.4% of the fund.

Returns. 5x plus 8% of integration is 5.4x all-in against a 5.4x exit. Without build-ups Base returns 2.04x, with them 2.12x. Doubling them lifts IRR to 18.7% and proceeds by €60M, but calls €102M of new equity and lowers MOIC to 1.95x. I model no cross-sell, and the case for buying more depends on it.

Recent deals. Planday went to Xero,[E36] Rotaready to Access,[E38] Rotageek to ELMO,[E37] and Shiftbase to Fortino in April 2026.[E40] Eurazeo entered talks for Mapal, a hospitality suite, in 2025.[E39]

Table 8. First-pass screen of what remains

Target	What is known	Logic	Obstacle
Combo (France)	8,000 customer teams in 2024; €40M Series A led by Highland;[E42] half Skello's size[E27]	Closest French rival; per-employee pricing and payroll	Above the €5–20M range; price; competition review
Papershift (Germany)	Karlsruhe; several thousand customers in 10+ countries; Series A in 2021[E43]	Entry to Germany	Revenue undisclosed; may be small
Sesame HR (Spain)	$23.2M FY25 revenue (CB Insights estimate); $57.9M debt financing in 2025[E41]	Scale in Spain	Funded and likely a rival buyer

8 Diligence plan

Question	Data request	What the answer changes
Retention	Euro and logo retention by cohort, country, sector and site count; closures split from competitive losses	About 90%: 2.5x. About 85%: 2.0x. Closures and competitive losses need different answers
Run-rate	Monthly ARR bridge from January 2025; price changes	If H1 2026 was mostly price, new logos are lower: 15% fewer costs 0.18x
Sales efficiency	Fully loaded S&M by country; payback by channel	CAC 20% worse costs 0.35x, because margin moves the exit
International	Spain cohort P&L after three years; Italy early data	35% of Base organic ARR growth rests on it
Earnings quality	Statutory accounts; capitalised development; research credit	Cash and tax losses settled by the 2024 accounts; open: capitalised development in 2025 profit
AI and pricing	Per-site against per-employee pricing; assistant usage and uplift; win/loss against AI-native entrants	One turn on the exit multiple moves MOIC by 0.36x
Build-ups	Target ARR, seller expectations, cross-sell evidence	Above about 5.4x all-in, a deal needs synergies
Structure	Instrument, drag-along, reserved matters; tax group and Charasse rule given founders roll over	Downside 0.5x or 0.8x, and whether Bridgepoint can force an exit

Appendix

Table 9. Base assumptions against the evidence

Assumption	Base	Basis
Primary cash; existing net cash	€60M; €8M	Primary undisclosed. End-2024 cash €8.4M and bank debt €4.2M;[E52] near breakeven in 2025[E03]
French gross retention, FY27	86%	Undisclosed. See Tables 6 and 7
New-logo ARR, France / international, FY28	€13.5M / €7.0M	Set so organic growth slows from 40%[E02] to 17% in FY30
CAC ratio, France / international, FY28	1.00x / 1.45x	Calibrated: small LTM profit[E03] and implied headcount of 402 against about 400[E06]
EBITDA margin, FY27 to FY30	3% to 22%	Follows from the lines above
Debt cost	8.82% all-in	Euribor 2.32%[E21] plus 6.50%: top of the 5–6% range plus part of the reported premium on AI-exposed software[E22]
Build-ups	5.0x ARR, 8% integration	Inside 3–6x;[E24] no cross-sell
Management incentive	10% above 1.5x	Assumed. Management already holds about 40%[E13]
Research credit	3% of R&D	Tax credits of €0.15M in 2024.[E56] Counted as cash when earned
Reference return	3.0x, 25% gross	My assumption. Altaroc quotes BDC I–III at "2.6 times net committed capital" and 30% IRR[E19]

Table 10. Where public sources disagree

Point	The disagreement	Treatment
Bridgepoint's position	"Lead minority shareholder" in most reports; "majority shareholder" with 40–50% in Consultancy.eu	Minority: 42.9% on these figures
What the €200M contains	Equity plus separate debt (CFNEWS);[E08-E09] equity and debt together (Maddyness)[E10]	CFNEWS reading; returns unaffected
€100M ARR milestone	2028 (Maddyness), 2027 (Veille de Presse), "two years" (CFNEWS)[E14-E15]	Mid-2028, as ARR

Model and checks: live-formula workbook with a separate Python implementation reconciled to it on 1,348 values. That proves the file is consistent, not that its assumptions are right. Sources for every reported figure are in the workbook's Evidence tab.